Government of Karnataka, Revenue Department
Regional Commissioner, Bengaluru Division, Revenue Department and Nodal Officer, Ex-Officio Secretary (Economic Offences), Bengaluru.
2nd Floor, 'C' Block, B.M.T.C Building, Shantinagar, K.H. Road, Bengaluru-560097
Telephone: 080-22109665, 22109670, Email: rcb27bangalore@gmail.com

No: RCB/PA/CR/35/2024-25 **Dated:** 13-10-2026

NOTICE

Sub: Calling for explanation regarding audit objections raised in the Audit Enquiry Report concerning the accounts, documents and vouchers of Bengalee Association, Bengaluru, for the financial years 2024–25 and 2025–26.

Ref: Your submission of audit related documents dated:31-08-2026

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With respect to the subject and reference cited above, the accounts, documents, bills, vouchers and other financial records submitted by the you for the financial years 2024–25 and 2025–26 are under audit scrutiny. During the course of verification, various observations concerning the maintenance of accounts, receipt and custody of funds, cash and Hundi collections, transactions through personal bank accounts, supporting documents for expenditure, cash withdrawals, and discrepancies in the closing balances are raised.

The objections recorded in the aforesaid preliminary audit enquiry reports require detailed examination and clarification from the persons concerned, particularly those who handled, authorized, verified, approved, received, disbursed or accounted for the relevant funds and transactions.

Accordingly, you are hereby directed to furnish a written, para-wise explanation, supported by relevant documentary evidence, in respect of the audit objections pertaining to the transactions handled or approved by you. (Audit Enquiry Paras are attached herewith).

(Amlan Aditya Biswas, I.A.S.,)
Regional Commissioner,
Bengaluru Division and Administrator,
The Bengalee Association, Bengaluru

To,

1. Sri Sidharth Sircar, Treasurer
2. Sri Sujoy Guho, Convenor
3. Sri Subhendu Ghosh, Convenor

Audit Enquiry No 1
Dated 28th September 2026

Sub: Production of documents/information

The audit of accounts of the Bengali Association, Bengaluru for the years 2024-25 and 2025-26 is in progress. In this behalf, the following additional information and attested supporting documents may kindly be produced for verification:

1. Certified accounts of the Association for the year 2023-24 in order to verify the correctness of the opening balance reflected in the Receipt & Payment account for the year 2024-25.
2. Bank pass sheets in respect of Account No 51021162378 with SBI, Shiwanchetty Garden branch for the period for the period 2023-24 and from 25.12.2025 till date.
3. The Treasurer of the Association has informed that he had remitted the unutilized cash balance of Rs 7,28,159/- to the above mentioned bank account on 16.9.2026. It is understood that there is no facility such as a cash chest/iron safe to secure cash receipts. Therefore, it may be stated as to where the day to day cash balances as well as this huge balance was held? Whether it was held in the personal bank account or in any form of investment, at home or in any other form? Necessary explanation may be given along with supporting documents to establish the exact location, where the cash balance was held. Retention of huge cash balances has also resulted in the loss of interest to the Association.
4. Minutes of the committee meetings conducted, if any, during 2024-25 and 2025-26.

Suma. 28/9/26
Assistant Controller Accounts
Office of SPLOCA

To,
The Administrator,
Bengalee Association, Bengaluru

Audit Enquiry No 2
Dated 28th September 2026

Sub: Non maintenance of initial records

Scrutiny of the Receipt & Payment Account produced by the Association revealed the following observations:

1. The Association had not maintained a cash book, which is the primary record for any registered organization. The vouching of cash book should be done by the management to ensure 1) that all the receipts and payments are daily accounted for 2) that all receipts and payments are entered under their appropriate heads of accounts 3) that no unauthorized or fraudulent payments are made 4) that the closing Cash and Bank balance are correctly arrived at. However, in the absence of cash book, these responsibilities have not been discharged by the authorized committee members. It may be confirmed whether cash book had been written and maintained in the past or it has not been maintained at all.
2. Day book of receipts to monitor the day to day collection was also not maintained.
3. Serially numbered Receipts had not been issued in respect of cash donations received by the Association. It may be stated as to how the day-to-day cash balance was monitored in the absence of these vital records.
4. How often and by whom the cash is checked and what system of internal check is in place with regard to custody and accounting of cash receipts may be stated.
5. The amount collected in cash had always been held in physical cash form, without remitting to the bank account. This had resulted not only in accumulation and holding of huge cash balances throughout the year, but also in loss of interest. Reasons for not remitting the cash to the bank account may be stated.
6. It is possible to prepare the Annual accounts, including receipt & payment account, only if the above mentioned initial records are properly maintained and updated as and when the transaction takes place. In the absence of these basic and initial records, it may be clarified as to how the Receipt & Payment account was prepared and with reference to which information.

7. Hundi collections- The Association has kept four *Hundies*, wherein the members who come for different events put their offerings in those Hundies. As per the information provided, the total amount collected through Hundies amounted to Rs.2,66,345/- (Rs. 1,23,070/- in 2024 and Rs. 1,43,275/- in 2025). Proceedings of the meetings on which the Hundies were opened, names of the Committee members who were present while opening these Hundies, date and time of opening and counted may be furnished. Copy of SOPs issued, if any, on the Hundi management may also be furnished.

   In the absence of cash book and non-issue of receipts for cash received by the Association, the correctness of the figures reflected in the Receipt & Payment Account is open to doubt.

Suma. KS 28/9/26
Assistant Controller Accounts
Office of SPLOCA

To,

The Administrator,

Bengalee Association, Bengaluru

Audit Enquiry No 3
Dated 28th September 2026

Sub: Receipts credited to the personal account of Members

During the year 2025-26, donations aggregating to Rs 43,969/- received through UPI had been initially credited on 20.10.2025 to the personal bank account of three committee members, namely Sri Prabal Ranjan Deb, Soumitro Debroy and Sri Sujoy Kumar Upadhyay.

The Treasurer informed that these three persons have in turn, withdrawn cash from their personal account and handed over cash to the Treasurer. They have furnished a statement, which is unsigned, showing the names of persons and the amount which the donors had deposited to their respective bank account through UPI. These statements are not accompanied by the bank pass sheets, nor receipt is issued acknowledging the date and the amount handed over to the treasurer. Therefore copies of the bank pass sheets of the said persons may be produced for verifying the correctness of the amount remitted to the Association.

Reasons for getting the Association receipts credited to the personal bank account of these three persons may be stated. Copy of the authority under which this decision was taken may also be produced to audit.

Suma - 28/9/26
Assistant Controller Accounts
Office of SPLOCA

To,
The Administrator,
Bengalee Association, Bengaluru

Audit Enquiry No 4

Dated 28th September 2026

Sub: Quality & features of bills and vouchers

In respect of payments made out of funds of an organization, it is the responsibility of a registered Society to ensure that:

- All vouchers are filed strictly in the order of the date the transaction occurred.
- Vouchers are numbered serially (traditionally marked in red ink on physical files or cleanly categorized digitally) to enable an auditor to trace them clearly back to the Cash Book and Ledger without gaps.
- Voucher must feature the signature of the person receiving the money and the formal authorization/approval signature of the designated Managing Committee member
- Every voucher passed should be attested by a responsible person.

Verification of bills issued by the suppliers has revealed the following glaring omissions and deficiencies concerning their quality:

- Payment for the purchase of goods and services related to the Association activities have been made by several persons from their personal account through UPI to the vendors/service providers, which has resulted in the mixing up of personal account with the Association account, which is irregular. Reimbursement of such expenses has been subsequently made either by cash or by issue of cheque. Permission granted, if any, authorizing anyone to carry out any purchase transaction on behalf of the Association in this manner may be produced for verification.
- In majority of the cases, original bill has not been obtained in support of the purchases. The purchaser or even the supplier has forwarded the bill to the whatsApp number of the person, whoever had made payment. Printout of such bills have been taken and preserved as vouchers.

  In this context, it is mentioned that the Courts have held that WhatsApp chats are admissible as evidence in India as electronic records under Section 63 of the ***Bharatiya***

Sakshya Adhiniyam, 2023 (which replaced Section 65B of the Indian Evidence Act fr n 1 July 2024), but only if they are accompanied by the Section 63(4) certificate. Without that certificate, a Court can refuse to read screenshots, however genuine they are. These are only secondary evidence, as a raw WhatsApp screenshot without proper verification or a signed certificate from the device owner is considered weak and can be rejected due to the risk of digital tampering. None of the WhatsApp bills were accompanied by prescribed certificate. Hence, allowance or disallowance of expenditure booked by the Association based on these bills needs to be decided by the Administrator.

- Attestation of the committee members is not available on any of the vouchers
- Signature of the supplier is not available
- In many cases, the purchasers have obtained bills in their own names and not in the name of the Association. These expenses cannot be accepted as a charge on the finances of the Association.
- Name of the supplier, GST registration number, address etc is not available on many bills
- Particulars of the goods purchased, quantity, unit rate etc is not recorded
- Hand-written bills are obtained in many cases, which do not contain bill number. Such bills are not acceptable as proof of payment, as they are non-compliant with the CGST Act and Rules.
- Mere amounts written on small slips of paper (even on the reverse of cigarette packs too) have been accepted as bills and payments are also made on that basis.
- Bills written on plain paper without name of the firm, address and such other details
- Most of the bills are not compliant with the invoicing provisions contained in the Central Goods & Services Act, 2017.
- Payments are also made on the basis of quotations/ hand-written small chits of paper, written on Plain paper, estimates etc.
- There are number of computer-generated bills regarding supply of manpower. These Agencies have not furnished acknowledgement of the staff/labourers to whom the amount was paid. Therefore, in the absence of acknowledgement, the accuracy of the amount paid, the number of persons for whom bill was claimed and whether the same amount was actually paid to the concerned persons was not verifiable.

- Payment made on hand receipts – Hand receipts can be used sparingly and only in informal and exceptional cases, where it is not feasible to make payment through bank. Handwritten receipts are incredibly easy to alter, forge, or damage. They lack the tamper-proof security features and render them difficult to establish the identity of the receiver. The Association is in the practice of using Hand receipts, for obtaining acknowledgement from the recipients, which is against the generally acceptable practice. During the test check it was noticed that the total expenditure made through Hand receipts worked out to Rs. 2,46,571/-. The hand receipts are not even serially numbered and attested by the Committee members and hence the correctness of these amounts cannot be vouched.
- It was also observed that there are cases involving huge expenditure, which could have been made through cheque, but payment actually made in cash by obtaining hand receipts, which lacked justification. Few illustrations are narrated below:

1. Mr Mintu Chakraborty had been paid Rs 0.60 lakh on 29.1.2026 in cash in lieu of cheque issued earlier, which was not justified. Even if the validity of the cheque had expired, a fresh cheque could have been issued, instead of making cash payment.
2. Shubharambh Productions Pvt Ltd had been paid Rs 1,72,500, Rs 1,62,500/- and Rs 1,05,000/- in cash towards supply of furniture, shamiyana, arch etc on rental basis.
3. Cash payment of Rs 16,200/- was made to M/s SMK Water supply for providing water through tankers
4. Rs 42,000/- paid in cash to Fire Brigade for placement of fire engine for 5 days from 27.9.25 to 1.10.25

The position is brought to notice for verification of facts and figures and furnishing para-wise replies.

Suma. 28/9/26
Assistant Controller Accounts
Office of SPLOCA

To,

The Administrator,

Bengalee Association, Bengaluru

Audit Enquiry No 5

Dated 28th September 2026

Sub: Cash withdrawn from bank on self cheques

As per details shown in the table below, Sri Siddhartha Sircar had withdrawn from the bank account, a sum of Rs 3,33,665/- on eight self cheques:

Date	Cheque No	Amount (Rs)
21.11.2024	644405	30,000
22.11.2024	644406	25,665
25.11.2024	644410	8,000
8.5.2025	644413	50,000
9.9.2025	644422	35,000
14.10.25	805011	1,25,000
17.10.25	805013	30,000
30.10.25	805027	30,000
Total		**3,33,665**

Further, due to non-maintenance of cash book, the physical cash balance available at the end of each day and whether there was necessity to withdraw cash from the bank could not be ascertained.

The details of expenses, corresponding to this cash withdrawal, had not been separately maintained, but stated to have been merged with the overall expenditure.

On enquiry during verification of vouchers, Sri Siddhartha Sircar stated that these expenses had been initially incurred out of his pocket and therefore cash was withdrawn from the bank to that extent, but separate account had not been maintained.

It is to be noted that unless the person who spent from his pocket maintains an account of the expenses which he incurred, it is impossible to calculate the out-of-pocket expenses to claim reimbursement/refund. Therefore, the explanation is not acceptable and is untenable.

Further, due to non-maintenance of cash book, the physical cash balance available at the end of each day could not be ascertained.

It was also observed that there was no necessity to incur expenditure to the tune of Rs 2.20 lakh (last four entries of the table above) out of one's pocket on behalf of the Association during 2025, as there was cash balance of over Rs 7 lakh at the commencement of the Durga Puja, 2025.

Suma. KS 28/9/26

Assistant Controller Accounts
Office of SPLOCA

To,

The Administrator,

Bengalee Association, Bengaluru

Audit Enquiry No 6
Dated 28th September 2026

Sub: Accounting principles ignored in preparation of accounts

Close examination of the statement of receipts and payments furnished to audit revealed the following discrepancies in compilation of the accounts:

1. The transactions are compiled on single entry system. The principle followed in compiling the accounts by the Association is "Credit what comes in and Debit what goes out." The single entry system, primarily records cash movements (whether cash received or paid). Payment made to suppliers either in cash or through cheque is recorded as 'Debit' and amount received in cash or through bank is recorded as 'Credit.'
2. As already stated, there are no initial records to verify the correctness of the accounts compiled by the Association. The accounts produced for verification have not been authenticated by the committee members. Even the Treasurer has not signed these statements.
3. Separate Receipt & Payment accounts have been prepared for each event, such as Durga Pooja, Kali Pooja, Lakshmi Pooja, Independence Day, etc, which is against the principles of accounting. An organization should maintain only one cash book for all the transactions. On the basis of the entries made in the cash book and bank pass sheets, only one Receipt & Payment Account & Balance sheet should be prepared.
4. Further, separate accounts have been prepared for cash (called OTHERS) and bank. In this regard, it was observed though the second account is named 'BANK,' it contains both cash transactions and bank transactions. Thus, there is no point in maintaining two separate accounts for cash and bank.
5. Notes to Accounts which should be mandatorily appended to the accounts in order to disclose the accounting policies followed in the preparation of accounts and the treatment of the various transactions is also not appended to the Accounts, causing confusion to the readers.

In view of the above, there is no clarity in the accounts compiled by the Association. It against the generally accepted principles of accounting and is difficult to independently comprehend by the readers. Reasons for the above lapses may be stated.

To,
The Administrator,
Bengalee Association, Bengaluru

Suma. K.L 28/9/26
Assistant Controller Accounts
Office of SPLOCA

Audit Enquiry No 7
Dated 28th September 2026

Sub: Scrutiny of Accounts of 2025-Discrepancies in closing balance

1. **Amount withdrawn on self cheques**

During 2025-26, the treasurer had withdrawn Rs 2.20 lakh from the bank on four self cheques, which had the effect of increasing the existing cash balance on hand. Therefore, this amount should have been shown as credit in the Receipt & Payment account. ***It was noticed that though cash withdrawn from the bank is initially reflected on the credit side under the Durga Puja account, while carrying forward the figures to the consolidated statement, the receipts have been reduced by Rs 2.20 lakh. This has resulted in the understatement of receipts and the closing balance by Rs 2.20 lakh.***

2. **Analysis of closing balance**

Due to non-maintenance of cash book, non-issue of receipts and non-remittance of cash to the bank, non-reconciliation of bank balances, the closing balance was not readily available. Hence Audit analysed the money trail in order to understand how the closing balance of Rs 7,78,757/- and Rs 87,022/- as on 11.11.2025 is arrived at by the Association.

Analysis showed that on one part, the closing balance of Durga Puja (Others) amounting to Rs 6,86,338/-is carried over as opening balance to Kali Puja, 2025. Cash receipts of Rs 92,419/- collected for Kali Puja is added to this balance and the closing cash balance of **Rs 7,78,757/- is kept aside without utilisation.**

After Kali Puja, starting with the Ratha Jathra, the closing balance of one event is carried over as opening balance to the next event in the following order:

- Ratha Jathra (OB Rs -1,88,299.50)
- Independence Day
- Durga Puja (Bank)
- Lakshmi Puja
- Kali Puja
- Rajyotsava Day -The closing balance of Rs 87,022/- is recorded under Rajyotsava, which is the last event for 2025.

The total unutilized balance of Rs 8,65,789/- (Rs 7,78,757/- + Rs 87,022/-) has been settled to the Treasurer as under:

a) **Cash on hand**	Rs 7,78,757
Less payment to Mintu Chakraborty	Rs 60,000
Net available cash	**Rs 7,18,757** (Cash remitted on 16.9.2026).
b) **Closing balance under Rajyotsava**	Rs 87,022
Less Cash at bank as on 11.11.25	Rs 77,622
Difference	**Rs 9,400** (Cash remitted on 16.9.2026).

However, the closing balance settled by the Treasurer is not inclusive of the cash withdrawn from the bank to the extent of Rs 2.20 lakh on self cheques.

3. Double debit of Rs 60,000/-

Amount paid to Sri Mintu Chakraborty vide cheque no 805004 dated 6.10.2025 had been included in the statement of expenditure under Durga Puja (Bank). However, at the time of settlement of the closing balance, Rs 60,000/- has again been deducted from cash on hand (Rs 7,78,757) as shown above with the narration "Cash paid in lieu of cheque no 805004 and the remaining amount of Rs 7,17,757/- has been stated to have remitted to bank, without reducing the expenditure already booked in the receipt & Payment account. This has resulted in booking of expenditure twice.

The position is brought to notice for re-examining the accounts rectification of the above discrepancies. The closing balance for 2025 should increase by Rs 2.80 lakh with the incorporation of the above figures.

To,
The Administrator,
Bengalee Association, Bengaluru

Suma. 28/9/26
Assistant Controller Accounts
Office of SPLOCA

Audit Enquiry No 8
Dated 30th September 2026

Sub: Accounts of Durga puja (Others) 2025

1. According to the provisions contained in Section 269ST of the Income Tax Act, 1961, it is not permissible to accept ₹2 lakh or more in cash in:

- A single transaction
- Multiple transactions for the same purpose
- Transactions related to one event or occasion.

Scrutiny of accounts of Durga Puja (Others) the year 2025 shows that Rs 2.34 lakh had been received in cash from Sri Sujoy Guha on 28.9.2025, which is in contravention of the provisions quoted above. An official receipt has also not been issued acknowledging this receipt. Reasons for the lapse may be stated.

2. Expenditure of Rs 10,21,837/- booked under Durga Puja (Others) 2025 includes the following expenses for providing Janabhog on Saptami and Nabami, which are reportedly paid directly to the supplier M/s Babu Mosai by the donors:

Date	Amount	Name of the Payer (Sri/Smt)
19.9.25	25,000	Indrajit Roy
19.9.25	50,000	Subrato Haldar
24.9.25	50,000	Subrato Haldar
29.9.25	80,000	Subrato Haldar
2.10.25	30,000	Subrato Haldar
19.9.25	50,000	Aparna Roy
19.9.25	25,000	Aparna Roy
2.10.25	17,000	Aparna Roy
14.10.25	2,04,000	Sujoy Guha
Total	**5,31,000**	

The treasurer has stated that the above amounts were paid directly to the supplier by the members concerned and that these amounts were not routed through the Association, which implies that the Janabhog was sponsored by the three members shown in the table.

It is to be recognized that though the above transactions have not resulted in outflow of cash from the Association funds, the expenditure has still been included in the statement of expenditure. In such scenario, either the amount should have been entered both in the receipt column and the expenditure column so that the net effect is ***Zero and the transactions are nullified, or related payments should not have been booked since expenditure is not incurred out of Association funds.***

Incorrect accounting as above has resulted in the overstatement of expenditure by Rs 5.31 lakh and corresponding understatement of closing balance to the same extent. The matter may be verified and action taken to arrive at the correct balances.

Suma. B S 30/9/2026
Assistant Controller Accounts
Office of SPLOCA

To,

The Administrator,

Bengalee Association, Bengaluru

Audit Enquiry No 9
Dated 30th September 2026

Sub: Scrutiny of Accounts of 2024 - Amount withdrawn on self cheques

During the period from November 2024 to May 2025, the treasurer had withdrawn Rs 1,13,665/- from the bank on four self cheques, as shown below:

Date	Cheque No	Amount (Rs)
21.11.2024	644405	30,000
22.11.2024	644406	25,665
25.11.2024	644410	8,000
8.5.2025	644413	50,000
Total		**1,13,665**

Withdrawal of cash from bank has the effect of increasing the existing cash balance on hand and therefore, this amount should have been shown as credit in the Receipt & Payment account. ***It was noticed that the withdrawn amount has not been accounted for as receipts. This has resulted in the understatement of receipts and the closing balance by Rs 1,13,665/-.***

Suma. 30/9/2026
Assistant Controller Accounts
Office of SPLOCA

To,

The Administrator,

Bengalee Association, Bengaluru